

Assignment 1: Entrepreneurship Case Study Analysis

Student Name :

Student ID :

Instructions:

- You may submit your answers either handwritten or typed
- Late submissions will not be accepted.

Dropbox is one of the most popular cloud storage platforms used worldwide. It was founded by Drew Houston after he faced a personal problem of forgetting his USB drive and being unable to access important files. At that time, people mainly stored files on physical devices, which made it difficult to access data anytime and anywhere.

To solve this problem, Drew Houston developed Dropbox, a cloud-based platform that allows users to store files online and access them from any device. Users can also easily share files and automatically synchronize data between devices. Although this idea is common today, it was very innovative at that time.

In the early stages, Dropbox faced challenges in explaining the concept of cloud storage to users and investors. To overcome this, Drew Houston created a simple demonstration video that clearly showed how the system works. The company also used a referral program where users received extra storage for inviting friends, which helped Dropbox grow rapidly. This is known as viral growth.

Dropbox uses a freemium business model, where basic services are free, but users pay for additional features. Despite strong competition from companies like Google and Microsoft, Dropbox became successful by focusing on user experience and continuous improvement.

- i) Identify the main problem that led Drew Houston to create Dropbox and Why is problem identification important in entrepreneurship? (15)
- ii) Explain how Dropbox demonstrates the concept of opportunity recognition.(15)
- iii) Analyze the innovation behind Dropbox. How did it improve existing methods of file storage?(20)
- iv) Discuss the early challenges faced by Dropbox. How did the founder overcome these challenges?(15)
- v) Analyze the business model of Dropbox. How does the freemium model help in generating revenue? (15)
- vi) Identify and discuss at least two types of risks Dropbox faced. (20)